

AESOP SOLUTIONS

Northern Colorado Commercial Real Estate

Market Outlook 2026–2029

QUESTION ADDRESSED

What is the likely trajectory of the northern Colorado commercial real estate market across all major asset classes over the next 12 months (0–12 months) and medium term (1–3 years, to end-2029), and what does this imply for investment positioning along the Boulder to Fort Collins corridor?

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EXECUTIVE SUMMARY

KEY FINDING

Northern Colorado's commercial real estate market enters H2 2026 in a state of measured divergence. Industrial and retail sectors are structurally sound and approaching a point of renewed rent growth. The office market faces a prolonged structural adjustment driven by hybrid working patterns that show no evidence of reversing. The corridor from Boulder to Fort Collins represents one of the most resilient sub-regional markets in the US Mountain West.

Industrial and flex: highest-conviction opportunity

Industrial and flex is the highest-conviction near-term opportunity. Larimer County industrial vacancy stands at 6.0% — below the national average of 7.5% — and the new supply pipeline has contracted to almost nothing: approximately 25,000 sf is under construction, representing just 0.1% of existing market inventory. Average asking rents of \$12.08/sf in Larimer County are growing at 0.8% annually. Weld County, at 4.9% vacancy, is the stronger near-term industrial market and offers lower entry prices. The constrained supply position means rent growth is likely to re-emerge as demand firms.

Retail: the tightest sector in the region

CBRE recorded a direct vacancy rate of 3.1% across northern Colorado in H2 2025, with positive net absorption of 177,000 sf for the full year and investment sales volume up 56.8% year-on-year to \$336.2 million. Average NNN rents of \$16.60/sf reflect a market where service-based and healthcare tenants are actively competing for a limited pool of available space. Boulder's restrictive development environment makes existing retail assets particularly valuable.

Office: structurally challenged

Downtown Boulder vacancy stands at 29% — approximately four times the pre-pandemic average — while Fort Collins averages around 19% across all classes. Institutional landlords are holding rents at pre-pandemic levels rather than accepting market-clearing reductions, creating an artificially stable headline rent figure that obscures deeper demand weakness. The Madwire case — a Fort Collins technology company that vacated 125,000 sf to move into 25,000 sf — is not an outlier: it is the pattern.

Base case and scenario framework

The macroeconomic backdrop is cautiously improving. The base case is one or two Fed cuts in H2 2026, bringing the funds rate towards 4.50–4.75%. The base case for 0–12 months is Measured Stabilisation (Scenario B, 50–55% probability): industrial vacancy stabilises and begins to tighten; retail remains near historical lows; office sees modest further deterioration in secondary product. For 1–3 years, the base case is Selective Sector Recovery (Scenario E, 40–50% probability), with industrial and retail outperforming a still-challenged office market.

Principal risk

Interest rate persistence is the principal risk. If inflation remains elevated and the Fed is unable to deliver meaningful cuts in H2 2026, cap rates could widen further, extending the period of impaired transaction activity and compressing net returns across all asset classes. The same demand and

supply fundamentals that make industrial and retail compelling also make them vulnerable to valuation compression if the rate environment deteriorates.

CONTENTS

Executive Summary	2
1. Analytical Framework	4
1.1 Scope and Analytical Question	4
1.2 Method and Scope	4
1.3 A Note on Evidence	4
1.4 Assumption Register	5
2. Northern Colorado Economic Baseline	7
2.1 Regional Economic Fundamentals	7
2.2 Macro-Financial Environment	7
2.3 Colorado CRE Capital Markets	8
3. Property Market Baseline	9
3.1 Industrial and Flex Market	9
3.2 Office Market	10
3.3 Retail and Mixed-Use Market	11
3.4 Summary: Current Market Positioning	12
4. Key Market Drivers and Risk Factors	13
4.1 Demand Drivers	13
4.2 Supply Constraints and Cost Headwinds	14
4.3 Key Risk Factors	14
5. Scenario Analysis: 0 to 12 Months	15
5.1 Scenario Framework	15
5.2 Scenario A: Rate Relief and Market Acceleration	15
5.3 Scenario B: Measured Stabilisation (Base Case)	16
5.4 Scenario C: Macro Headwinds and Extended Adjustment	16
6. Scenario Analysis: 1 to 3 Years (2027–2029)	17
6.1 Scenario Framework	17
6.2 Scenario D: Structural Growth	18
6.3 Scenario E: Selective Sector Recovery (Base Case)	18
6.4 Scenario F: Protracted Adjustment	19
7. Investment Implications by Asset Class	20
7.1 Industrial and Flex	20
7.2 Office	21
7.3 Retail and Mixed-Use	22
8. Investor Action Framework	23
8.1 Near-Term Candidate Activities (0–12 Months)	23
8.2 Medium-Term Candidate Activities (1–3 Years)	24
8.3 Standing Monitoring Brief	25
8.4 Discriminating Indicators	26
Glossary of Abbreviations	27
Annex A: Evidence Log	28

1. ANALYTICAL FRAMEWORK

1.1 Scope and Analytical Question

This assessment addresses the following analytical question: What is the likely trajectory of the northern Colorado commercial real estate market across all major asset classes over the next 12 months (0–12 months) and medium term (1–3 years, to end-2029), and what does this imply for investment positioning along the Boulder to Fort Collins corridor?

The assessment covers four commercial asset classes — industrial and flex, office, retail and mixed-use, and hospitality/land where relevant — and produces three scenarios at each time horizon. Recommendations are framed as candidate activities rather than prescriptions: they are analytically derived options, not guaranteed outcomes, and should be calibrated against individual portfolio objectives and risk appetite.

1.2 Method and Scope

A bespoke diagnostic library was constructed for this problem around eight analytical dimensions: macro-financial environment, regional economic fundamentals, property market baseline by asset class, demand drivers and supply constraints, scenario construction at two time horizons, investment implications by asset class, investor action framework, and a discriminating-indicators layer to distinguish genuine market signals from false positives.

The primary geography is the northern Colorado Front Range corridor, running approximately 65 miles from Boulder (Boulder County) north to Fort Collins (Larimer County). Key sub-markets include Boulder, Longmont, Broomfield, Loveland, Fort Collins, and Greeley/Windsor (Weld County), which is included for industrial analysis given its structural importance to the I-25 logistics corridor. The assessment excludes residential and multi-family properties.

1.3 A Note on Evidence

Market, property and macro-financial claims are drawn from published, dated sources as of July 2026 (Annex A), consistent with the AESOP Solutions analytical standard of live-checking time-sensitive assumptions rather than assuming they still hold. Where market data is undisclosed or not publicly available (particularly for off-market transactions), this is flagged explicitly rather than estimated. Recommendations throughout are framed as candidate activities: analytically derived options for investment decision, not prescriptions.

1.4 Assumption Register

ID	Assumption	Confidence	Time-sensitivity
A.01	Fed funds rate remains elevated (4.75–5.25%) through H1 2026; cautious cuts of 25–50 bps begin H2 2026.	High	Live — Fed meetings June/July/Sept 2026
A.02	US tariffs on steel, aluminium, and copper remain at elevated levels (50%)	High	Monitor trade policy announcements

	through 2026, sustaining construction cost headwinds of 15–25% on new builds vs 2023 baselines.		
A.03	Northern Colorado population growth continues. Weld County growing at 1.92% YoY; Larimer County more slowly. Net effect: sustained demand for commercial space.	High	Stable; census updates annual
A.04	Hybrid working is structural, not cyclical. Demand for traditional Class B/C office continues to decline; no meaningful reversal within the 0–12 month window.	High	Stable barring major employer mandate
A.05	Amazon 2M+ sf logistics facility under development near Fort Collins-Loveland airport (Trammell Crow) proceeds broadly on schedule.	Medium	Monitor construction announcements
A.06	Colorado's federal employment base — aerospace, defence research, national laboratory functions — remains stable through the period. No major DOGE-linked cuts.	Medium	Monitor federal budget and DOGE actions
A.07	Boulder's restrictive development environment continues to constrain new commercial supply. Load-bearing for retail and flex valuations in Boulder sub-market.	High	Monitor City of Boulder planning decisions
A.08	No US recession in the base case. Colorado GDP growth positive but below trend (1–2% real).	Medium	Downside risk flagged in Scenario C/F
A.09	Nearshoring and supply-chain diversification trends sustain demand for last-mile industrial space along the I-25 corridor.	Medium	Monitor trade flows and manufacturing PMI

2. NORTHERN COLORADO ECONOMIC BASELINE

2.1 Regional Economic Fundamentals

Northern Colorado — defined here as Larimer and Weld counties plus Boulder County — is one of the most structurally sound sub-regional economies in the Mountain West. The combined region has added over 170,000 residents since 2010, with Weld County now overtaking Larimer County in population for the first time, driven by a year-on-year growth rate of 1.92% (reaching 378,426 residents). This growth is not coincidental: Weld County's combination of available land, lower commercial rents, and access to the I-25 corridor has made it the primary growth vector for industrial and logistics development in the region.

The economic base is well-diversified. The University of Colorado Boulder and Colorado State University together employ tens of thousands and generate sustained demand for office, lab, and retail space. Fort Collins is a net importer of labour, with approximately 50,000 workers commuting daily — roughly 60% of all city jobs — underscoring the city's status as a genuine economic hub. Key employers include OtterBox, Woodward Inc., Broadcom (Fort Collins), Hewlett Packard Enterprise, Oracle, and UCHealth.

2.2 Macro-Financial Environment: Interest Rates and Tariffs

Two macro-financial forces dominate the 2026 commercial real estate investment environment nationally and locally: elevated interest rates and construction cost inflation driven by tariffs.

On interest rates: the Fed has kept the funds rate at 4.75–5.25% through H1 2026, constrained by persistent inflation (CPI around 4.2% nationally). Cushman & Wakefield's baseline scenario foresees one or two cautious cuts in H2 2026, bringing the terminal rate towards 3.00–3.25% by late 2026 or early 2027. Morgan Stanley characterises 2026 as an "inflection point" for CRE, with transaction activity and value recovery expected to gather pace as rate cuts materialise.

On tariffs and construction costs: the 50% tariffs on steel, aluminium, and copper have added materially to the cost of new commercial construction. JP Morgan estimates that tariff-related construction cost inflation is running at 15–25% above 2023 baselines for steel-intensive builds. The practical effect on northern Colorado is already visible — under-construction industrial in Larimer County has contracted to just 25,000 sf, a fraction of the 400,000–500,000 sf annual delivery rates seen in 2021–2023.

CMBS and debt markets have tightened in response. Commercial mortgage rates are running 50–100 bps above equivalent Treasury benchmarks on a risk-adjusted basis. Investors with low-leverage or cash positions are disproportionately advantaged in the current market.

2.3 Colorado CRE Capital Markets: Cap Rates and Transaction Activity

Cap rates across Colorado commercial asset classes reflect the rate environment and asset class divergence described above. Data below is sourced from Corken + Company Q1 2026 analysis; Larimer/Weld County cap rates typically trade at a 25–50 bps premium to Denver Metro on equivalent product, reflecting lower liquidity and smaller average deal size.

Asset class	Asking cap rate	Closing cap rate	Avg days on market	Direction
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Industrial (quality)	5.50–6.50%	5.75–6.50%	344 days	Compressing
Industrial (secondary)	7.00–8.00%	7.50–8.00%	344 days	Stable to widening
Retail (NNN)	5.83%	6.07%	276 days	Compressing
Retail (strip/power centre)	6.44–6.80%	6.50–6.80%	276 days	Stable
Office (quality suburban)	6.75–7.01%	6.75%	489 days	Widening
Office (distressed Class A)	11.00–13.00%	Varies	489+ days	Widening significantly

3. PROPERTY MARKET BASELINE

3.1 Industrial and Flex Market

The northern Colorado industrial market is in a position of measured equilibrium following a period of extraordinary growth (2021–2023) and subsequent cooling (2024–2025). Larimer County vacancy stands at 6.0% (CoStar, November 2025), below the national average of 7.5%. Weld County sits at 4.9% — the tighter market driven by sustained e-commerce activity, population growth, and logistics demand.

Metric	Larimer County	Weld County	National average
Vacancy rate	6.0%	4.9%	7.5%
Avg asking rent (NNN)	\$12.08/sf/yr	\$12.90/sf/yr	~\$9–11/sf/yr
YoY rent growth	+0.8%	-0.4%	-0.1% (quarterly)
Under construction	~25,000 sf (0.1%)	Moderate pipeline	At 7-year low nationally
12-month leasing activity	865,000 sf	713,000 sf	Slowest since 2012
Investment sales (12 months)	\$116M, avg \$144/sf	\$151M, avg \$128/sf	Variable

The supply picture is the most important forward-looking indicator. New industrial construction has contracted sharply. Larimer County has approximately 25,000 sf under construction — 0.1% of existing inventory (NAI Affinity/CREJ, December 2025). With very little new supply entering the market over the next 12–18 months, any recovery in tenant demand will tighten vacancy quickly.

The primary growth corridor remains the I-25/Highway 34 axis, encompassing Johnstown, Loveland, and Greeley. The most significant medium-term demand catalyst is the Amazon facility reportedly under development by Trammell Crow north of the Fort Collins-Loveland Regional Airport. If this facility proceeds (Assumption A.05), it will anchor a new logistics cluster in north Larimer County and generate significant ancillary demand for smaller-bay industrial, flex, and last-mile distribution space.

3.2 Office Market

The northern Colorado office market is the most structurally challenged sector in the region. Larimer County vacancy (6.8% as at September 2024) looks moderate in aggregate, but Fort Collins city-wide averages approximately 19% vacancy. Downtown Boulder tells a starker story: approximately 29% vacancy rate, with a further significant volume of "ghost space" — leased but unoccupied — that pushes the true vacancy rate materially higher.

Market	Vacancy rate	Avg asking rent	YoY change	Leasing activity	Sales volume
Larimer County	6.8% (agg)	\$25.17/sf	+0.4%	444,000 sf	\$55.5M (\$162/sf)
Weld County	4.5%	\$20.26/sf	+0.3%	223,000 sf	\$16.3M (\$143/sf)
Boulder (downtown)	~29%	\$25–30/sf NNN	Flat (sticky)	Limited	Very low
Fort Collins (all class)	~18–19%	\$22–25/sf	Flat	Moderate	Low

The Boulder office paradox deserves attention: rents hold at \$25–30/sf NNN despite 29% vacancy. This is a product of institutional ownership structures and lender covenant constraints by major local landlords such as W.W. Reynolds and Tebo Properties. The practical implication for investors: headline rents in Boulder overstate actual market demand, and acquiring downtown Boulder office means underwriting a sustained period of below-market occupancy and elevated incentive packages.

The underlying driver of office weakness is structural. The Madwire case — a Fort Collins technology company that vacated 125,000 sf to return to 25,000 sf — is emblematic. Companies are right-sizing aggressively to reduce occupancy costs. This trend has not reversed and shows no sign of doing so within the next 12 months.

Three niches are performing: medical and healthcare office (structurally supported by the growing regional population and UCHHealth expansion); lab and R&D flex space (particularly in the Boulder biotech and CSU research ecosystems); and well-located, recently refurbished suburban office near major amenities (East Harmony Road corridor in Fort Collins; Gunbarrel and east Boulder).

3.3 Retail and Mixed-Use Market

Retail is the standout performer of northern Colorado's commercial real estate market in 2025–2026.

Metric	H2 2025	H1 2025	H2 2024	Direction
Direct vacancy rate	3.1%	3.0%	3.2%	Stable (historically tight)
Net absorption (half-year)	+23,000 sf	+154,000 sf	Positive	Positive throughout 2025
Avg direct asking rent (NNN)	\$16.60/sf/yr	\$14.79/sf/yr	Higher	Moderate YoY decline

Under construction	365,000 sf	362,000 sf	151,000 sf	Significantly up (Bass Pro)
Investment sales (full-year 2025)	\$336.2M	—	\$214M (2024)	+56.8% YoY

A vacancy rate of 3.1% in the context of a national retail market navigating structural e-commerce headwinds for a decade reflects the genuine strength of the northern Colorado retail base. Service-based tenants — fitness studios, healthcare providers, restaurants, coffee shops, salons — have proven highly resistant to online substitution and continue to drive demand for well-located neighbourhood retail.

Boulder's retail market is a special case. The City's restrictive development regulations mean that existing retail properties are becoming increasingly scarce and valuable. Pearl Street Mall and surrounding corridors maintain very low vacancy and strong foot traffic despite the office market's struggles.

3.4 Summary: Current Market Positioning

Asset class	Vacancy	Rent trend	Supply pipeline	Cap rate	Investment activity	Conviction
Industrial (Larimer)	6.0% — below national avg	Flat/recovering (+0.8%)	Near-zero (0.1%)	5.50–6.50%	Moderate; improving	HIGH
Industrial (Weld)	4.9% — tight	Slight decline (-0.4%)	Moderate; controlled	5.25–6.00%	Active	HIGH
Office (suburban NoCo)	6.8–19%	Flat; sticky	Minimal	6.75–7.50%	Subdued	LOW (selective only)
Office (Boulder downtown)	~29%	Flat (structural stickiness)	None	11–13% (distressed)	Very low	AVOID (unless distressed)
Retail (NoCo)	3.1% — historically tight	Moderate decline YoY; stable	365,000 sf (managed)	5.83–6.07%	Very strong (+56.8%)	HIGH

4. KEY MARKET DRIVERS AND RISK FACTORS

4.1 Demand Drivers

Six demand drivers are structurally significant for northern Colorado commercial real estate over the 2026–2029 period.

- **Population and labour force growth.** Weld County's 1.92% annual growth rate is the fastest among large Colorado counties and reflects migration from higher-cost Front Range and California markets. This growth generates sustained demand for retail, healthcare, and industrial space and underpins the case for Weld County industrial as a core allocation.
- **Anchor institutions.** CU Boulder and Colorado State University generate demand for lab, research, and office space through spin-out companies, technology transfer partnerships, and visiting researcher accommodation. CSU's bioscience and engineering programmes are particularly relevant to the Fort Collins bioscience and clean technology cluster.
- **Amazon logistics anchor.** The 2M+ sf facility under development by Trammell Crow near Fort Collins-Loveland Regional Airport is the single largest catalyst for near-term industrial demand in the corridor. If completed on schedule, it will generate direct employment and substantial ancillary demand for smaller-bay industrial and logistics services in Larimer County.
- **Nearshoring and supply-chain reconfiguration.** As US manufacturers accelerate supply-chain diversification away from Asia — driven partly by 50% tariffs and partly by post-pandemic risk reassessment — demand for last-mile and regional distribution space along the I-25 corridor is sustained at levels above the post-pandemic demand peak.
- **Service-sector employment growth.** Healthcare, professional services, and education continue to drive modest but steady office demand, particularly for medical office and smaller professional suites. The healthcare sector is the most resilient office demand segment in a hybrid-work environment.
- **Lifestyle-driven relocation.** Northern Colorado continues to attract in-migration from Denver, California, and other high-cost markets, drawn by outdoor recreation access, relative affordability, and quality of life. This consumer base supports premium neighbourhood retail, restaurants, and experiential retail formats.

4.2 Supply Constraints and Cost Headwinds

- **Construction cost inflation from tariffs.** Steel, aluminium, and copper tariffs at 50% have increased the cost of new commercial construction by an estimated 15–25% above 2023 baselines. This constrains new supply across all asset classes and improves the relative value of existing assets — particularly well-located industrial and retail product that would be difficult to replace at current build costs.
- **Boulder's development restrictions.** The City of Boulder operates one of the most restrictive commercial development environments in Colorado. This is a structural constraint on retail and flex supply in Boulder that has held for decades and shows no sign of relaxing.
- **Entitlement timelines.** Across the northern Colorado corridor, entitlement of new commercial sites typically requires 18–36 months from acquisition to permit, creating a meaningful lag between demand signals and new supply delivery. This lag further insulates existing well-located assets from near-term supply competition.
- **Property tax headwinds.** The 2023 Colorado commercial property assessment (affecting 2024 taxes) increased taxes by 20–40% for many Larimer and Weld County properties. A future downward reassessment — likely as office and some industrial values reflect correction — could be a positive catalyst for net operating income recovery.

4.3 Key Risk Factors

- **Interest rate persistence (HIGH probability).** If inflation remains elevated and the Fed is unable to deliver meaningful cuts in H2 2026, cap rates could widen further, extending the period of impaired transaction activity and compressing net returns across all asset classes.
- **Tariff escalation (MEDIUM probability).** A further round of tariff increases could increase construction costs beyond current forecasts and reduce consumer spending — affecting retail fundamentals.
- **Federal employment cuts (MEDIUM-LOW probability).** Northern Colorado's aerospace and defence employment base (Woodward, Spirent, L3Harris, national laboratory contracts) is assumed stable, but DOGE-related federal spending reductions could create localised employment shocks. Fort Collins and Boulder would be most exposed.
- **Amazon facility delay or cancellation (LOW-MEDIUM probability).** If the logistics anchor is delayed or cancelled, the catalyst for ancillary industrial demand in north Larimer County is removed. This would not reverse the industrial fundamentals but would extend the timeline for rent growth recovery.
- **Office doom loop in downtown Boulder (LOW-MEDIUM probability on escalation).** If major institutional landlords face refinancing pressure, forced sales at distressed valuations could create mark-to-market pressure across the broader Boulder commercial market.

5. SCENARIO ANALYSIS: 0 TO 12 MONTHS

5.1 Scenario Framework

Three scenarios are developed for the 0–12 month period (H2 2026 through H2 2027). The scenarios are constructed around two key uncertainty axes: the Federal Reserve policy trajectory and the pace of industrial demand recovery. Scenarios are assigned indicative probability ranges reflecting analytical judgement, not quantitative modelling.

Scenario	Label	Probability	Rate trajectory	Industrial demand	Tariff environment
A	Rate Relief and Market Acceleration	20–25%	Fed cuts 75–100 bps by end-2026; 10yr Treasury below 4%	Strong recovery; new leasing accelerates	Partial normalisation or pause
B	Measured Stabilisation (Base Case)	50–55%	Fed cuts 25–50 bps cautiously; rates remain elevated	Steady; vacancy tightening slowly	Tariffs persist at current levels
C	Macro Headwinds and Extended Adjustment	20–25%	No meaningful Fed cuts; inflation re-accelerates	Weakening; some negative absorption	Tariff escalation or new trade shock

5.2 Scenario A: Rate Relief and Market Acceleration (20–25%)

Inflation declines faster than expected, enabling the Fed to deliver 75–100 bps of cuts before year-end 2026. Larimer County industrial vacancy drops from 6.0% to below 5.0% within 12 months. Asking rents rebound to \$12.50–13.00/sf, and cap rates on quality product compress to 5.00–5.50%. Retail becomes a seller's market, with cap rates compressing to 5.25–5.50% on NNN product. Office does not meaningfully improve on fundamentals, but lower financing costs may unlock conversion activity, providing a floor for values in well-located buildings.

Investor implication: the window for buying quality industrial/flex and neighbourhood retail at current cap rates is closing. Moving ahead of rate cuts — before other investors price in the improved environment — is the highest-return strategy.

5.3 Scenario B: Measured Stabilisation (Base Case, 50–55%)

The Fed makes one or two cautious cuts in H2 2026, bringing the funds rate to 4.25–4.75%. Inflation is on a downward trajectory but remains above target. Larimer County industrial vacancy holds at 5.8–6.2%. Asking rents are flat to slightly positive (+0.5–1.0%). Retail vacancy holds at 3.0–3.5%. Office sees further modest deterioration: Larimer County vacancy rises to approximately 7.5–8.0%.

Investor implication: Scenario B supports a selective but active deployment strategy. Industrial and neighbourhood retail acquisitions are analytically sound at current pricing. Value-add office plays should be limited to specific medical/lab conversion opportunities. New development is unattractive given construction costs and rate environment. Hold periods of five to seven years are appropriate for industrial/flex positions entered in this environment.

5.4 Scenario C: Macro Headwinds and Extended Adjustment (20–25%)

A macro deterioration extends the period of elevated rates and market uncertainty. Industrial vacancy rises to 7.0–8.0% by H2 2027 in Larimer County; Weld County more resilient at 5.5–6.0%. Retail sees modest vacancy increase to 4.0–5.0%. Office sees more rapid deterioration with some forced sales creating a distressed opportunity set at 11–13% cap rates.

Investor implication: capital preservation is the priority. Hold existing well-located industrial and retail positions. Deploy cash selectively into distressed office only where conversion to medical or flex use is structurally viable. Do not commit to new development without pre-lease commitments of 70% or greater.

6. SCENARIO ANALYSIS: 1 TO 3 YEARS (2027–2029)

6.1 Scenario Framework

The 1–3 year horizon (2027–2029) allows for a more structural view. The key uncertainty axes at this horizon are: the pace of US rate normalisation; the development pipeline response to the current low-supply environment; and whether the Amazon logistics anchor materially reshapes the northern Larimer County industrial market. The base case (Scenario E) assigns slightly more weight to selective sector recovery than to a broad-based expansion, reflecting the structural challenges facing the office market.

Scenario	Label	Probability	Rate environment by 2029	Key driver
D	Structural Growth	20–30%	Fed neutral (3.00–3.25%); CMBS markets open	Amazon anchor + nearshoring + rate normalisation
E	Selective Sector Recovery (Base Case)	40–50%	Fed at 3.50–4.00%; partial normalisation	Industrial/retail outperform; office two-tier
F	Protracted Adjustment	20–30%	Fed constrained; rates elevated (4.50%+)	Federal spending cuts; office reckoning; value search

6.2 Scenario D: Structural Growth (20–30%)

Rate normalisation runs to completion and northern Colorado's structural advantages combine to produce sustained commercial real estate growth across most asset classes. By 2029, the Amazon facility is fully operational, having anchored a logistics cluster generating demand for 3–5 million sf of ancillary industrial, flex, and last-mile distribution space. Larimer County industrial vacancy is at 4.0–4.5%; Weld County at 3.0–3.5%. Rents have grown 15–20% from 2026 levels, reaching \$14.00–15.00/sf in Larimer County.

Investor implication: investors who acquired industrial/flex in 2026 will have achieved meaningful capital appreciation by 2029 in addition to income. The inflection point for industrial entry is 2026–early 2027.

6.3 Scenario E: Selective Sector Recovery (Base Case, 40–50%)

The Fed reaches a partial neutral position (3.50–4.00%) by 2028. Industrial and retail outperform; office is a two-tier market with medical/flex recovering and traditional office continuing to contract. By 2029, Larimer County industrial vacancy is at 4.5–5.5%; rents have grown 8–12% from 2026 levels, reaching \$13.00–13.50/sf. Cap rates have compressed to 4.75–5.50% on quality product. Total returns to industrial investors entering in 2026 are in the range of 10–14% annualised over the period.

Office: medical office in UCHealth-adjacent locations and lab/flex office in the Boulder bioscience cluster trade at cap rates of 6.00–6.75%. Traditional suburban office without a conversion thesis

trades at 8.00–10.00%. Downtown Boulder office remains structurally impaired; the resolution is conversion rather than re-letting.

Investor implication: the industrial and retail allocation decisions made in 2026 are the defining moves. Hold periods of five to seven years on industrial/flex entry positions will generate strong risk-adjusted returns. Selective office conversion plays committed to in 2026–27 will be in the money by 2028–29.

6.4 Scenario F: Protracted Adjustment (20–30%)

Sustained elevated rates and macro uncertainty through 2027–2028. By 2029, Larimer County industrial vacancy has risen to 7.0–8.0%; Weld County holds at 5.5–6.5%. The Amazon facility has been delayed by 12–18 months, removing the near-term catalyst for north Larimer industrial demand. The office reckoning accelerates: distressed forced sales in Boulder and Fort Collins create a value-add opportunity set for investors with deep pockets and long time horizons.

Investor implication: deploy capital conservatively. Priority is assets with long-duration, creditworthy tenants and minimal debt. Industrial with NNN leases to creditworthy occupiers is the most defensive position. Monitor distressed office pipeline for selective acquisition at very wide cap rates, with conversion as the explicit exit thesis.

7. INVESTMENT IMPLICATIONS BY ASSET CLASS

7.1 Industrial and Flex

The investment case for northern Colorado industrial and flex is the strongest of any commercial asset class in the corridor. It rests on four propositions.

First, vacancy is below the national average and supply is near-zero. Larimer County at 6.0% and Weld County at 4.9% are both tighter than the national 7.5% average, and with only 25,000 sf under construction in Larimer County, there is no near-term supply pressure to delay rent recovery.

Second, asking rents of \$12.08–12.90/sf are significantly below replacement cost on a per-sf basis given current construction costs. This creates a structural floor on values that limits downside risk in all but the most severe macro scenario.

Third, the demand pipeline is concrete and visible. The Amazon logistics anchor is the largest near-term catalyst, but it is supported by ongoing nearshoring demand, CSU and CU Boulder spin-out activity, food/beverage manufacturing growth, and aerospace contractor expansion.

Fourth, entry cap rates of 5.50–6.50% on quality Larimer County product (or 5.25–6.00% on Weld County product) represent reasonable risk-adjusted returns relative to the current rate environment, with meaningful upside as the cycle turns.

The key sub-market differentiation: Weld County industrial (Johnstown/2534, Greeley/Hwy 34, Windsor) offers tighter vacancy, lower entry prices, and a more active development pipeline with controlled competition. Flex space (smaller bays, 5,000–50,000 sf, with office component) is the sub-segment with the most active tenant demand.

7.2 Office

The investment case for traditional office is structurally weak and is expected to remain so through the 2026–2029 period. Three plays are analytically supportable.

First, medical and healthcare office — ideally adjacent to UCHHealth, Banner Health, or Poudre Valley Health System clinical facilities — is the most structurally sound office demand segment. Medical tenants have long lease terms, low turnover, and cannot be displaced by hybrid working. Fort Collins South (Harmony Medical Center area) and east Loveland are the two most relevant sub-markets.

Second, lab and R&D flex in the Boulder bioscience cluster and the CSU research corridor is performing well. Rents here diverge significantly from the downtown Boulder office market and should be underwritten separately.

Third, opportunistic value-add plays in well-located suburban Fort Collins office with credible conversion potential — to medical, lab/flex, or potentially residential (where zoning permits) — represent a high-risk, potentially high-return strategy. Acquisition at 9–11% cap rates (reflecting current weak occupancy) and repositioning to a stabilised 7.0–7.5% yield on cost is an achievable target.

Avoid: downtown Boulder traditional office at current asking rent levels; Class B/C suburban office without a clear alternative use thesis; large campus office (>75,000 sf per floor with single-tenant dependency) without creditworthy tenant certainty.

7.3 Retail and Mixed-Use

The retail investment case is compelling and is being validated by the market: \$336.2 million of investment sales in 2025 at +56.8% year-on-year is not the behaviour of a distressed or uncertain asset class. Northern Colorado retail at 3.1% vacancy is at or near the floor of what is achievable in a functioning market.

The most attractive retail sub-segments for acquisition are: neighbourhood retail centres (3,000–20,000 sf) anchored by healthcare, fitness, food and beverage, or personal services tenants; Pearl Street Mall adjacency in Boulder (limited availability, premium pricing); and Old Town Fort Collins (structural tenant demand, near-zero vacancy). For each, entry cap rates of 5.83–6.07% on NNN product represent reasonable risk-adjusted returns with meaningful upside as cap rates compress.

Mixed-use development — combining ground-floor retail with upper-floor residential or office — is worth considering for entitle-and-hold strategies where developable infill sites can be acquired near transit corridors. The cost and time investment in entitlement (18–36 months) are significant, but the completed product commands premium rents on both components.

8. INVESTOR ACTION FRAMEWORK

The following candidate activities are derived analytically from the scenario analysis and investment implications set out in Sections 5–7. They are presented in priority order within each time window. They are not prescriptions — they are options whose relative merit depends on individual capital position, existing portfolio composition, geographic preferences, and risk tolerance.

8.1 Near-Term Candidate Activities (0–12 Months)

Candidate Activity 1: Acquire quality industrial/flex in the I-25/Hwy 34 corridor (Weld County priority; Larimer County secondary)

- **Target:** well-located multi-tenant industrial or flex buildings, 15,000–80,000 sf bay sizes; NNN or modified gross leases; creditworthy tenants with 3+ years remaining.
- **Target cap rate entry:** 5.25–6.00% (Weld County); 5.50–6.50% (Larimer County).
- **Rationale:** near-zero supply pipeline; vacancy below national average; rent recovery expected as demand firms; tariff-driven construction cost inflation creates structural floor.
- **Sub-markets:** Johnstown/2534; Windsor; Greeley/Hwy 34 (Weld County); Loveland/Brands West, Axis 25, Centerra (Larimer County); north Fort Collins/airport area.
- **Kill switch:** if Larimer County industrial vacancy rises above 8.0% or Weld above 6.5% within 12 months, re-evaluate.

Candidate Activity 2: Acquire neighbourhood retail in Fort Collins, Loveland, and Longmont

- **Target:** neighbourhood centres (5,000–25,000 sf GLA); service-based anchor tenants; NNN or NNN equivalent leases; 5+ years WALT.
- **Target cap rate entry:** 5.83–6.25%.
- **Rationale:** 3.1% vacancy; positive net absorption; investment sales volume surging; limited new supply; long-hold income characteristics.
- **Sub-markets:** Old Town Fort Collins adjacencies; south Fort Collins (College Avenue, Harmony Road); Longmont (Main Street area); Loveland/Centerra.
- **Kill switch:** if retail vacancy rises above 5.0% or NNN cap rates widen to 7.0%+ due to consumer spending deterioration, pause acquisition programme.

Candidate Activity 3: Identify and option value-add office assets with medical/lab conversion potential

- **Target:** suburban Fort Collins or east Boulder office, 20,000–60,000 sf, well-located near medical anchors or university research facilities; current occupancy 50–70%; acquisition at 9–11% cap rate on in-place income.
- **Rationale:** entry prices reflect current weakness; conversion to medical or lab use repositions asset to 6.5–7.5% stabilised yield on cost; 3-year execution horizon aligns with medium-term scenario.
- **Kill switch:** if planning risk for conversion cannot be mitigated within 6 months of acquisition, do not proceed with capital expenditure.
- **Activity to stop:** avoid speculative development (ground-up industrial or retail) without 70%+ pre-leasing commitments, given construction cost headwinds and rate environment.

8.2 Medium-Term Candidate Activities (1–3 Years)

Candidate Activity 4: Position for north Larimer County industrial growth ahead of Amazon anchor completion

- **Target:** industrial land or early-stage development sites within 3–5 miles of Fort Collins-Loveland Regional Airport; sites on or near the US-287/I-25 interchange.
- **Rationale:** the Amazon facility (2M+ sf) will generate 1–3M sf of ancillary industrial demand. Positioning ahead of this demand surge creates first-mover advantage.
- **Timing:** begin site identification H2 2026; target land acquisition by Q2 2027 at latest.
- **Kill switch:** if Amazon facility is cancelled or indefinitely delayed, abort land acquisition programme in this specific corridor. Redirect to I-25/Hwy 34 Greeley corridor instead.

Candidate Activity 5: Recycle retail proceeds into higher-conviction positions as the market re-rates

- If neighbourhood retail cap rates compress below 5.5% by 2027–28 (Scenario D environment), consider selective disposal of lower-conviction retail assets and redeployment into industrial/flex where better risk-adjusted returns remain available.
- Alternatively, in Scenario E or F, hold retail as the most defensive income-producing asset and extend investment horizon.

Candidate Activity 6: Evaluate Boulder mixed-use infill development

- **Target:** entitled or readily entitle-able infill sites in Boulder Junction or Gunbarrel corridors; mixed-use (ground-floor retail/flex + upper-floor residential or lab).
- **Risk note:** Boulder entitlement is among the most uncertain in Colorado; do not commit capital to development until full entitlement is confirmed.

8.3 Standing Monitoring Brief

The following indicators should be reviewed at least quarterly to assess whether the base case (Scenarios B/E) continues to hold, or whether conditions are moving towards Scenario A/D (accelerate deployment) or C/F (defensive mode).

Indicator	Watch for	Scenario A/D signal	Scenario C/F signal	Source
Fed funds rate	Rate decision at each FOMC meeting	Two or more 25bps cuts in H2 2026	Hold or increase; inflation resurgence	Federal Reserve / FOMC
Larimer County industrial vacancy	CoStar quarterly update	Below 5.0%	Above 8.0%	CoStar / NAI Affinity CREJ reports
Weld County industrial vacancy	CoStar quarterly update	Below 3.5%	Above 6.5%	CoStar / NAI Affinity CREJ reports

NoCo retail vacancy (CBRE)	CBRE bi-annual Retail Figures	Below 2.5%	Above 5.0%	CBRE Northern Colorado Retail Figures
NoCo retail investment sales volume	CBRE bi-annual; CoStar	Sales volume >\$400M/yr; cap rate <5.5%	Sales volume <\$150M/yr; cap rates >7%	CBRE / CoStar
Amazon facility construction progress	Planning permits, construction starts, local news	Groundbreaking confirmed; steel erection begun	Development paused or cancelled	Larimer County planning; BizWest
Boulder office vacancy	CoStar / Downtown Boulder Partnership	Below 20% (conversion activity absorbing supply)	Above 35%; institutional forced sales	CoStar; Colorado Sun; Colorado Group
10-year Treasury yield	Daily market data	Below 4.0%	Above 5.0%	Bloomberg / Fed
Larimer/Weld construction permits (commercial)	County planning departments	Rising (new industrial/flex supply approved)	Sharply falling (development freeze)	Larimer/Weld County planning

8.4 Discriminating Indicators

The following paired indicators are designed to distinguish genuine market improvement from false signals.

Question	Genuine improvement signal	False or misleading signal
Is industrial demand genuinely recovering, or is leasing activity just churn?	Net absorption turns positive for two consecutive quarters in Larimer County; new tenant enquiries for 15,000+ sf spaces increase	Existing tenants renewing (no growth in base); gross leasing activity high but negative net absorption
Is retail investment sales volume indicating genuine value, or just a yield-chasing bubble?	Vacancy remains below 4% after new Bass Pro supply delivers; NNN leases renewing at or above current asking rents	Investment sales driven by 1031 exchange buyers accepting sub-5% cap rates on declining-occupancy assets
Is the Amazon facility genuinely on track, or just rumoured?	Building permits filed with Larimer County; site preparation visible; Trammell Crow press release confirms timeline	No planning filings; story based on 2022 reporting only; site remains undeveloped
Is the office market bottoming, or still in structural decline?	Medical and lab/flex leasing activity increasing; downtown conversion planning applications filed; net absorption turns positive in suburban sub-markets	Gross leasing activity is renewals only; landlord concessions (free rent, TI allowances) continue to increase; shadow vacancy remains elevated

Is the rate environment genuinely improving, or is the market front-running Fed cuts that do not materialise?

Two consecutive FOMC rate cuts delivered; 10-year Treasury below 4.0%; CMBS spreads tighten; commercial mortgage rates fall below 6.0%

Equity markets rally on rate cut expectations but Fed delivers only one cut; commercial debt markets do not follow; cap rates remain compressed without fundamental support

GLOSSARY OF ABBREVIATIONS

Abbreviation	Definition
CBRE	CB Richard Ellis — a global commercial real estate services firm; cited here for its Northern Colorado Retail Figures bi-annual market report.
CMBS	Commercial Mortgage-Backed Securities — bonds backed by mortgages on commercial properties, used as a proxy for commercial debt market conditions.
CoStar	A commercial real estate information and analytics platform; the primary source for vacancy, absorption, and transaction data in this report.
CPI	Consumer Price Index — a measure of the average change in prices paid by urban consumers for a market basket of goods and services.
CRE	Commercial Real Estate.
CSU	Colorado State University, Fort Collins.
CU Boulder	University of Colorado Boulder.
DOGE	Department of Government Efficiency — US federal initiative aimed at reducing government spending and headcount; relevant to northern Colorado's federal employment base.
FOMC	Federal Open Market Committee — the body within the Federal Reserve responsible for setting US monetary policy, including the federal funds rate.
GLA	Gross Leasable Area — the total floor area of a retail or commercial property available for lease, excluding common areas.
MF	Multi-Family — residential property with multiple separate housing units; excluded from the scope of this assessment.
NNN	Triple Net lease — a lease structure in which the tenant pays base rent plus property taxes, insurance, and maintenance costs. Standard in retail and industrial CRE investment.
NOI	Net Operating Income — total property income minus operating expenses, before debt service and capital expenditure.
R&D	Research and Development.
sf	Square feet — the standard unit of commercial real estate area measurement in the United States.
TI	Tenant Improvement allowance — funds provided by a landlord to a tenant to customise or improve leased space; a form of landlord concession.

WALT	Weighted Average Lease Term — the average remaining duration of leases across a property or portfolio, weighted by income.
YoY	Year-on-year — a comparison of a metric with the equivalent period in the prior year.

ANNEX A: EVIDENCE LOG

All sources accessed and dated July 2026, consistent with the AESOP Solutions analytical standard of live-checking time-sensitive assumptions. Deal values not stated below were undisclosed at source.

Source	URL	Referenced in
NAI Affinity / CREJ, Northern Colorado Industrial Market Report	https://crej.com/news/nai-affinity-noco/	Larimer County industrial vacancy, asking rents, under-construction sf, investment sales data (Sections 3.1, 5.2–5.4, 6.2–6.4, 7.1, 8.1)
CBRE, Northern Colorado Retail Figures H2 2025	https://www.cbre.com/insights/figures/northern-colorado-retail-figures-h2-2025	Retail vacancy, net absorption, under construction, asking rents, investment sales volume (Sections 3.3, 4.1, 5.2–5.4, 7.3, 8.1)
Corken + Company, Q1 2026 CRE Market Update	https://corkenandcompany.com/cre-market-update-q1-2026	Cap rate benchmarks by asset class; days on market data (Section 2.3)
The Colorado Group / Colorado Group Inc, March 2026	https://coloradogroup.com/market-reports/	Boulder commercial market overview; downtown Boulder office vacancy; institutional landlord analysis (Sections 3.2, 7.2)
The Colorado Sun, August 2025 / January 2026	https://coloradosun.com/	Downtown Boulder office vacancy analysis; Madwire case study; ghost vacancy framing (Section 3.2)
Cushman & Wakefield, 2026 US CRE Forecast	https://www.cushmanwakefield.com/en/united-states/insights/us-marketbeat-reports/2026-us-cre-outlook	National CRE macro outlook; rate scenario framework; 'from resilience to optimism' characterisation (Sections 2.2, 5.1)
Morgan Stanley, Real Estate at an Inflection Point (2026)	https://www.morganstanley.com/ideas/commercial-real-estate-outlook-2026	2026 as CRE inflection point; transaction activity and value recovery expectations (Section 2.2)

JP Morgan, 2026 CRE Trends and Tariff Impact	https://www.jpmorgan.com/insights/real-estate/commercial-real-estate/commercial-real-estate-outlook-2026	Tariff-related construction cost inflation estimate (15–25% above 2023 baselines) (Sections 2.2, 4.2)
BizWest, January 2026	https://bizwest.com/	Northern Colorado economic outlook; regional resilience characterisation; Amazon facility reporting (Sections 2.1, 4.1, 8.3)
Colorado Biz, January 2026	https://coloradobiz.com/	Colorado state economic outlook; northern corridor characterisation (Section 2.1)
Larimer County, Northern Colorado Labor Market Profile, May 2026	https://www.larimer.gov/workforce/	Fort Collins labour market; commuter statistics; employment sector data (Section 2.1)
KUNC / Weld County population data, March 2026	https://www.kunc.org/	Weld County population figures (378,426; 1.92% YoY growth) (Sections 2.1, 4.1)
Matthews Real Estate, Q3 2024 Northern Colorado Industrial Market Report	https://www.matthews.com/	Industrial investment sales volume; cap rate benchmarks for Larimer and Weld counties (Sections 2.3, 3.1)
Wexford Insurance, Colorado CRE Cities 2026	https://wexfordinsurance.com/colorado-cre-cities-2026	Supporting market characterisation data (Section 3.4)

Validation notes: Assumption A.05 (Amazon facility) is graded Medium confidence. The 2M+ sf facility was first reported in 2022 CREJ coverage. As at July 2026, no public confirmation of building permits or groundbreaking was found in accessible sources. Investors should treat this assumption as directionally supportive but not confirmed, and the discriminating indicator in Section 8.4 should be applied before making investment commitments that depend materially on this catalyst. All market data is sourced from 2025–2026 publications.